



IT'S BEEN JUST six months since the Union Budget 2024-25 was presented by Union Finance Minister Nirmala Sitharaman on July 23, 2024. This may not seem a long time in a nation's economy to come out with a fresh set of policies, but there have been big shifts since then.

The Indian economy's growth is set to slow to less than 7% for two consecutive years after clocking a higher rate of growth for three straight years. Demand from India's middle classes has dampened as persistently high inflation, led by food prices, has squeezed household budgets and cut down their consumption spends. Despite several measures, India's manufacturing sector is seen to contribute just about 17% to the GDP and private investment remains weak.

Globally, the political and economic landscape has also witnessed a sharp shift after elections in the US brought Donald Trump back as the President with a renewed pledge to Make America Great Again. His tariff and tax measures would affect people and goods across the world. The new order is visible in the tariffs he has imposed on Canada, Mexico and China, the strengthening of the US dollar and volatile equity markets.

"The passing of the era of rapid world trade growth

clouds the outlook for India's export growth because, historically, India's export growth has been a high beta play on global export growth. This means domestic growth levers will be relatively more important than external ones in the coming years," stated the Economic Survey 2024-25, presented just before Union Budget 2025-26. It has projected GDP growth in the 6.3-6.8% range in FY26, after an estimated 6.4% this fiscal.

Finance Minister Nirmala Sitharaman's Union Budget 2025-26 tried to take these problems head on and prioritised boosting domestic growth by focussing on four key themes: agriculture, micro, small and medium enterprises (MSMEs), investment, and exports.

For businesses to be able to work better, the Budget also took the advice from the Survey for deregulation and to "get out of the way". The Finance Minister announced light touch regulations in both financial and non-financial sectors "to strengthen trust-based economic governance", along with other reforms, including the expected 100% foreign direct investment in insurance to whet the appetite of investors. The idea is to cut down compliance burden and cumbersome form filling by businesses to enable them to focus more on their core business of doing business.

Economist Ajit Ranade believes this is one of the most important aspects of the Budget as a comprehensive overhaul of the regulatory system that would cut down the compliance burden for businesses. "If that can be achieved, it would certainly be a huge stimulus for the economy," he underlines.

A high level committee has been proposed in the Budget to review all non-financial sector regulations, certifications, licences, and permissions and would submit its recommendations within a year. States would also be encouraged to participate in this.

"Consumption, capex, consolidation," is how HSBC economists summed up the Union Budget 2025-26. "The government walked the tightrope in [the] Budget, balancing several conflicting objectives. It gave a near-equal stimulus to both consumption (personal

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"We will evaluate the impact of the Budget measures, the monsoon rainfall and how global conditions pan out in the next few quarters before we take a call on revising the growth estimate"

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